through land use change. Landownership had remained in the hands of the state. Local governments were able to use land as collateral to finance infrastructure development in their respective regions. They could also lease out land to private entrepreneurs and contractors for a fairly large consideration, which then could be used to fund further infrastructure development. This was unique to China, as it did not give up public ownership of land.

Two, the larger proportion of FDI came from Greater China – that is, Hong Kong, Taiwan and Singapore – and from the Chinese diaspora in South-East Asia. Hong Kong was the primary source. This was again something unique to China, and the cultural affinity of this class of investors with China was particularly useful in generating mutual trust and confidence.

Three, FDI from the US, Europe and Japan was valuable not so much for the volume of funds involved as much as for their constituting the main channel for transfer of technology and modern management practices. At an early stage of the reforms, China had created a system whereby technology introduced from abroad was quickly assimilated and became the basis of local innovation.

It is obvious that China has been the biggest beneficiary of a benign and supportive international economic environment, with access to markets, capital and technology on a scale that has no match when it comes to any other developing country. Chinese students came to vastly outnumber other foreign students at top Western universities. China also invited top-level faculty from the world's premier universities to upgrade China's own higher education infrastructure. These include a galaxy of well-known and highly acclaimed Indian-American scientists.

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China has been able to expand the opportunities for highly skilled and professional talent in the country in a manner that has been singularly absent in India. A large proportion of Chinese educated abroad in high-tech areas return to China and contribute to its development. This is not the case